

FASHION ROOTS

Chairman K.P. Ramasamy's calibrated yarn-to-garment vertical integration of KPR Mill has made it one of India's largest knitwear garment manufacturers, which exports to top brands such as H&M, M&S, and Primark

By **Vidya S.**

► **CHAIRMAN K.P. RAMASAMY** stitched up KPR Mill, much like piecing together a T-shirt—one step at a time. First, the front and back pieces were sewn together with its yarn and fabric businesses; the sleeve attachment came next with the garment business; the addition of fabric processing, printing, and embroidery capacities reinforced it like the side seams and neckline; and the sugar and ethanol business to fulfil power requirements served as the hem for a good finish.

82 | “We didn’t bring in everything suddenly. We went step by step,” says Ramasamy, the patriarch of one of India’s largest vertically integrated knitwear garment

manufacturers, which exports to top global fashion brands like Marks & Spencer, H&M, and Primark. The profitable family-driven business generates more than ₹6,000 crore in revenues annually. Founded four decades ago by Ramasamy and his brothers, it had evolved into a yarn-and-fabric maker by 2010, catering to both domestic and international markets, with a small garment export business churning out 50 million pieces. Given the low profit margins on yarn and fabric, it made sense to broaden the scope of garment exports.

Initially, KPR Mill outsourced washing, dyeing, printing and embroidery due to a lack of crucial fabric processing capabilities in-house. But 5% of the consignment would get rejected by buyers due to damages. “When we tried it in-house, the rejects fell to 1% and we saved money,” explains Ramasamy. This led them to focus on integrating spinning, knitting, processing and garmenting during 2010-15. KPR Mill now has 15 factories to spin cotton into yarn, knit yarn into fabric, process the fabric, and produce 150 million garments for export annually. It ships more than 140 million pieces, mostly to Europe, North America, Australia and the rest of Asia. Now, garment exports account for 40% of its revenues, or about ₹2,400 crore, up from ₹230 crore in FY10.

Noting an impressive 25% CAGR in their garments exports business in a 10-year span, Sandeep Raina, Executive Vice President-Research at wealth management firm Nuvama Professional Clients Group, says KPR Mill’s vertical integration provides it advantages such as higher profits and swifter shipping. “In the fashion business, if you miss a deadline, the product becomes redundant.” He says it has moved into high-yield products, bolstered with more capacity and capital. The firm added a greenfield factory in March 2022 to produce 42 million pieces and a ₹100-crore viscose yarn spinning mill in 2023.

Glocal CEO

K.P. RAMASAMY

CHAIRMAN, KPR MILL

Revenue from operations	FY23	6,208.1
	9MFY24	4,197.8
Profit before tax	FY23	1,084.2
	9MFY24	762.5
Profit after tax	FY23	814.1
	9MFY24	591.7
	FY23 RoE (%)	23.62
	Market Cap	25,501

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE